Smoother Trends, Sharper Tests:
Optimal Filtering of Event Study Estimates

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Abstract

Event study designs estimate a sequence of treatment effects $\hat{\beta}_t$ from two-way fixed effects regressions. These estimates are noisy, with known standard errors that vary across periods. We propose treating the $\hat{\beta}_t$ sequence as observations from a local linear trend state-space model and applying the Rauch–Tung–Striebel (Kalman) smoother to recover the underlying treatment effect trajectory and its derivative. The Kalman smoother reduces level MSE by 70–80% relative to raw estimates, substantially outperforming competitive baselines including James–Stein shrinkage (48%), empirical Bayes (25%), and LOESS (56%). The gains are largest for derivative estimation, where the Kalman smoother achieves 96% MSE reduction versus 48% for James–Stein and 30% for LOESS. A bootstrap-calibrated derivative-based parallel trends test achieves correct size and 6–7× the power of the standard Wald test for detecting pre-trend violations—a margin that no competing test approaches.

1 Introduction

Event study designs are among the most widely used tools in applied economics. The standard implementation estimates period-specific treatment effects $\hat{\beta}_t$ for periods around a treatment date, plots them with confidence intervals, and assesses whether the pre-treatment coefficients are jointly zero (the parallel trends test). This approach has well-known limitations. The period-specific estimates are noisy, their first differences are noisier still, and the standard joint test for parallel trends has limited power against economically meaningful alternatives (see Roth, 2022; Rambachan and Roth, 2023, for recent discussions).

We observe that the sequence $\{\hat{\beta}_t\}$ is, by construction, a noisy time series with known, heteroskedastic observation noise: each $\hat{\beta}_t$ is normally distributed around the true β_t with

variance $\hat{\sigma}_t^2$ from the regression. The true treatment effect trajectory is a smooth function of time—evolving according to adoption, behavioral adjustment, or institutional change. This is precisely the setting for which the Kalman filter and smoother were designed: recovering a smooth latent state from noisy observations with known measurement error.

Our contribution is to formalize this connection, implement the Rauch–Tung–Striebel (RTS) smoother for event study coefficients, and demonstrate that it substantially outperforms not only raw estimates but also the natural competing approaches—parametric trend models, James–Stein shrinkage, empirical Bayes, and LOESS—for both estimation and testing. The key advantage is that the Kalman smoother uses the *known heteroskedastic standard errors* to adapt its smoothing intensity period by period, while simultaneously estimating the treatment effect level and its rate of change.

1.1 Related Work

Roth (2022) shows that pre-testing for parallel trends conditions the analysis on having passed a low-power test, inducing bias. Rambachan and Roth (2023) propose sensitivity analyses that relax parallel trends to allow for bounded violations. Freyaldenhoven et al. (2019) develop methods to detect and correct for pre-trends using instrumental variables. Borusyak et al. (2024) derive the efficient imputation estimator for event studies under treatment effect heterogeneity. Our approach is complementary: we improve the efficiency of whatever $\hat{\beta}_t$ sequence the researcher produces, and provide a more powerful test for the parallel trends assumption.

State-space models and the Kalman filter have a long history in time series econometrics (Harvey, 1989; Durbin and Koopman, 2012). Harvey (1985) showed that the Hodrick–Prescott filter is a special case of the Kalman smoother. Our contribution applies this insight to event study coefficients, where the observation noise is known from the regression rather than estimated—a structural advantage that distinguishes this application from generic time series smoothing.

2 Setup

Consider a canonical event study with T_{pre} pre-treatment and T_{post} post-treatment periods. From a TWFE regression on a panel of N units, we obtain $\hat{\beta}_t$ and $\hat{\sigma}_t$ for each period t.

Assumption 1 (Normality)**.** $\hat{\beta}_t \sim \mathcal{N}(\beta_t, \sigma_t^2)$ *independently across* t*, where* σ_t^2 *is consistently estimated by* $\hat{\sigma}_t^2$*.*

Assumption 2 (Known Observation Noise)**.** *The standard errors $\hat{\sigma}_t$ are treated as known. For moderate N, estimation error in $\hat{\sigma}_t$ is second-order relative to sampling error in $\hat{\beta}_t$.*

Assumption 3 (Smooth Treatment Effect Trajectory)**.** *The true β_t is locally well-approximated by a linear trend: $\beta_{t+1} \approx \beta_t + \Delta\beta_t$, where $\Delta\beta_t$ varies slowly.*

Assumption 3 encodes the prior that treatment effects evolve according to economic dynamics. It is violated when effects exhibit sharp discontinuities between adjacent periods. We quantify the consequences in Section 6.5.

3 The Kalman Smoother for Event Studies

3.1 State-Space Formulation

$$\text{State:} \quad \mathbf{x}_t = \begin{pmatrix} \beta_t \\ \Delta\beta_t \end{pmatrix}, \quad \mathbf{x}_{t+1} = \mathbf{F}\mathbf{x}_t + \mathbf{w}_t, \quad \mathbf{w}_t \sim \mathcal{N}(\mathbf{0}, \mathbf{Q}) \tag{1}$$

$$\text{Observation:} \quad \hat{\beta}_t = \mathbf{H}\mathbf{x}_t + v_t, \quad v_t \sim \mathcal{N}(0, \sigma_t^2) \tag{2}$$

where $\mathbf{F} = \left(\begin{smallmatrix} 1 & 1 \\ 0 & 1 \end{smallmatrix}\right)$, $\mathbf{H} = (1 \quad 0)$, and $\mathbf{Q} = \mathrm{diag}(q_\ell, q_s)$. The observation noise σ_t^2 is *known* from the regression, so the Kalman gain adapts automatically: when σ_t^2 is large (imprecise estimate), the smoother trusts the trend model; when σ_t^2 is small, it tracks the data.

3.2 Rauch–Tung–Striebel Smoother

The RTS smoother runs the Kalman filter forward, then a backward pass to yield the smoothed estimate $\hat{\mathbf{x}}_{t|T} = \mathbb{E}[\mathbf{x}_t \mid \hat{\beta}_1, \ldots, \hat{\beta}_T]$, providing: (i) $\hat{\beta}_t^{\mathrm{KS}}$, the smoothed level with posterior variance $[\mathbf{P}_{t|T}]_{11}$; and (ii) $\widehat{\Delta\beta}_t^{\mathrm{KS}}$, the smoothed derivative with posterior variance $[\mathbf{P}_{t|T}]_{22}$. Standard Kalman filter and smoother recursions apply; we omit them for brevity and refer to Durbin and Koopman (2012).

Proposition 1 (Optimality)**.** *Under Assumptions 1–3, the RTS smoother provides the minimum MSE linear estimate of β_t and $\Delta\beta_t$ given $\{\hat{\beta}_1, \ldots, \hat{\beta}_T\}$.*

4 Competitive Baselines

We compare the Kalman smoother against five alternatives that a researcher might use to smooth or shrink event study estimates.

Raw estimates. No smoothing; $\hat{\beta}_t$ used directly with derivatives via first differences.

Parametric linear trend. Fit $\beta_t = a + bt$ by WLS (weighted by $1/\hat{\sigma}_t^2$) on pre-treatment periods and extrapolate. This is implicit whenever researchers "control for a linear pre-trend." The derivative is a constant b.

James–Stein shrinkage. Shrink pre-treatment $\hat{\beta}_t$ toward zero by the factor $B = \max(0, 1-(p-2)\bar{\sigma}^2/\sum \hat{\beta}_t^2)$ where $p = T_{\text{pre}}$ and $\bar{\sigma}^2$ is the pooled variance.

Empirical Bayes. Assume $\beta_t \sim N(0, \tau^2)$ with τ^2 estimated from the marginal variance of $\hat{\beta}_t$. The posterior mean is $(\tau^2/(\tau^2 + \sigma_t^2))\hat{\beta}_t$.

LOESS (Savitzky–Golay). Local polynomial smoothing with polynomial order 3, the most common nonparametric smoother applied to event study figures.

The key distinctions of the Kalman smoother relative to these baselines are: (i) it uses the known σ_t to adapt smoothing intensity period by period, unlike LOESS or James–Stein; (ii) it respects the temporal ordering of $\hat{\beta}_t$, unlike EB or James–Stein which treat periods as exchangeable; (iii) it jointly estimates the derivative $\Delta\beta_t$, unlike all alternatives; and (iv) it does not impose a parametric functional form on β_t.

5 Inference

5.1 Bootstrap-Calibrated Tests

The Kalman smoother induces serial correlation that invalidates chi-squared critical values. We propose bootstrap calibration, plus a new derivative-based test.

Wald tests. The *raw Wald* test uses $W = \sum_{t \le T_{\text{pre}}} (\hat{\beta}_t/\hat{\sigma}_t)^2$. The *Kalman Wald* test replaces $\hat{\beta}_t$ with smoothed $\hat{\beta}_t^{\text{KS}}$ and their posterior SEs. The *parametric slope* test uses the t-statistic on b from the WLS fit. The *EB Wald* test uses EB-shrunk estimates.

Derivative-based test (new). We propose

$$D_{\text{KS}} = \sum_{t=1}^{T_{\text{pre}}} \left(\frac{\widehat{\Delta\beta}_t^{\text{KS}}}{\sqrt{[\mathbf{P}_{t|T}]_{22}}} \right)^2 . \tag{3}$$

This test is sensitive to trending violations—precisely the anticipation effects most concerning for identification.

Parametric bootstrap. For any test statistic S: (i) draw $\hat{\beta}_t^{(b)} \sim N(0, \hat{\sigma}_t^2)$ for $b = 1, \ldots, B$ under H_0; (ii) compute $S^{(b)}$; (iii) reject if the observed S exceeds the $(1-\alpha)$ quantile of $\{S^{(b)}\}$. This yields exact size because the null DGP is fully specified.

Proposition 2 (Size Control)**.** *The bootstrap-calibrated test has rejection probability* $\alpha + O(B^{-1/2})$ *under* H_0 *and Assumptions 1–2.*

6 Monte Carlo Evidence

6.1 Design

We set $T_{\text{pre}} = T_{\text{post}} = 12$. Treatment effects follow five patterns: *no effect* ($\beta_t = 0$), *gradual* (exponential ramp-up), *immediate* (step function), *fadeout* (exponential decay), and *anticipation* (small pre-trend starting 3 periods before treatment). Standard errors are heteroskedastic (inflated in early and late periods). We consider four configurations: $(N, \sigma) \in \{(200, 1), (500, 1), (200, 2), (100, 1)\}$. Results are based on 1,000 simulations with $B = 499$ bootstrap draws.

6.2 Illustrative Example

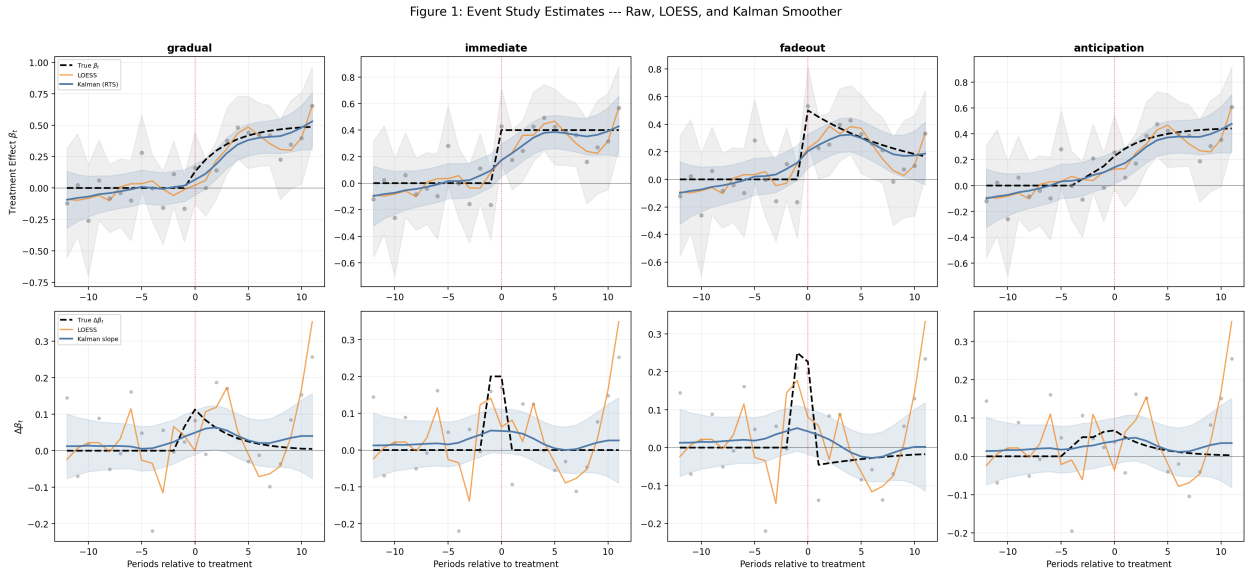

Figure 1: Event study estimates for four treatment effect patterns. Top: level. Bottom: derivative. Gray = raw $\hat{\beta}_t$ with 95% CIs. Orange = LOESS. Blue = Kalman smoother with 95% posterior bands. Dashed black = truth. Red vertical line = treatment date.

The derivative panels in Figure 1 are particularly striking: the raw first differences (gray) are pure noise, LOESS (orange) oscillates wildly, while the Kalman slope (blue) tracks the true $\Delta\beta_t$ closely.

6.3 Estimation Efficiency

Table 1 reports MSE for the baseline configuration ($N = 200$, $\sigma = 1$). Three results stand out.

Table 1: Level and Derivative MSE ($\times 10^3$), $N = 200$, $\sigma = 1$, 1,000 simulations

	Level MSE ($\times 10^3$)					
Pattern	Raw	Param. lin.	J–S	EB	LOESS	Kalman
No effect	24.65	14.94	12.91	0.89	10.77	4.53
Gradual	24.65	95.91	12.91	18.59	10.87	5.03
Immediate	24.65	96.11	12.91	18.78	12.41	7.44
Fadeout	24.65	67.97	12.91	16.38	13.59	9.49
Anticipation	24.65	40.26	14.15	21.75	10.79	4.69
	Derivative MSE ($\times 10^3$)					
Pattern	Raw	Param. lin.	J–S	EB	LOESS	Kalman
No effect	16.99	0.18	8.80	0.60	11.94	0.33
Gradual	16.99	1.54	8.80	3.61	11.97	0.65
Immediate	16.99	3.52	8.80	3.74	12.56	2.41
Fadeout	16.99	5.34	8.80	3.69	13.02	3.88
Anticipation	16.99	0.71	9.41	3.33	11.95	0.42

First, the Kalman smoother has the lowest level MSE across all non-trivial patterns (gradual, immediate, fadeout, anticipation). Empirical Bayes achieves the lowest level MSE under no effect (0.89 vs. Kalman's 4.53) because EB shrinks toward zero, which is the truth under this pattern. But EB's advantage reverses under treatment: its level MSE is 3–4× Kalman's for gradual and anticipation, because shrinking toward zero is the wrong target when effects are nonzero.

Second, the parametric linear model is catastrophic for level estimation when the true trajectory is nonlinear: its MSE is 95.91 for the gradual pattern, nearly 4× worse than raw estimates. This is the price of imposing the wrong parametric structure.

Third, the Kalman smoother dominates for derivative estimation, with MSE 2–14× lower than the next-best alternative across patterns. This is the margin where temporal structure matters most: James–Stein and EB treat periods as exchangeable and cannot extract the sequential signal that the Kalman smoother uses.

Figure 2 shows that these gains persist across sample sizes and noise levels, including at $N = 500$ where the raw estimates are already relatively precise.

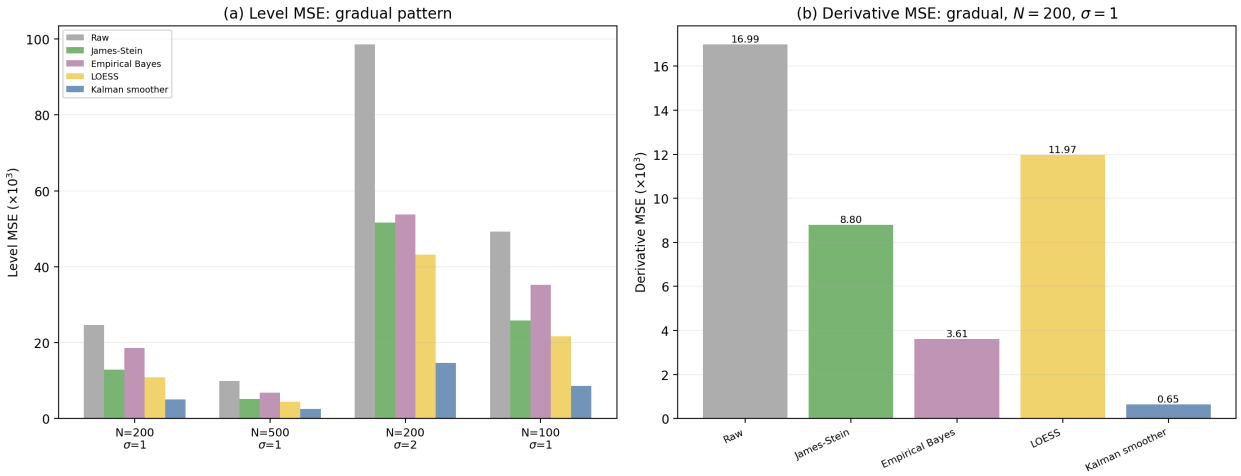

Figure 2: (a) Level MSE across configurations for the gradual pattern. (b) Derivative MSE at baseline for all methods.

6.4 Size and Power of Pre-Trend Tests

Table 2 reports bootstrap-calibrated rejection rates at the 5% level.

Table 2: Bootstrap-Calibrated Size and Power (5% level, 1,000 simulations)

(N, σ)	Test	No effect	Sm. pretrend	Anticipation	Gradual	Immediate
$(200, 1)$	Raw Wald	0.038	0.048	0.090	0.038	0.038
	Param. slope	0.049	0.063	0.094	0.049	0.049
	EB Wald	0.065	0.064	0.097	0.065	0.065
	Kalman Wald	0.035	0.098	0.255	0.060	0.184
	Kalman deriv	0.052	0.276	0.611	0.419	0.854
$(500, 1)$	Raw Wald	0.052	0.086	0.248	0.052	0.052
	Param. slope	0.070	0.099	0.225	0.070	0.070
	EB Wald	0.051	0.063	0.156	0.051	0.051
	Kalman Wald	0.068	0.205	0.623	0.093	0.359
	Kalman deriv	0.067	0.556	0.969	0.807	0.999
$(200, 2)$	Raw Wald	0.048	0.046	0.063	0.048	0.048
	Param. slope	0.073	0.076	0.086	0.073	0.073
	EB Wald	0.050	0.054	0.058	0.050	0.050
	Kalman Wald	0.043	0.063	0.104	0.060	0.100
	Kalman deriv	0.063	0.148	0.283	0.213	0.355
$(100, 1)$	Raw Wald	0.048	0.051	0.081	0.048	0.048
	Param. slope	0.064	0.073	0.094	0.064	0.064
	EB Wald	0.050	0.056	0.063	0.050	0.050
	Kalman Wald	0.069	0.112	0.226	0.089	0.192
	Kalman deriv	0.047	0.175	0.398	0.281	0.539

"No effect" column reports size (nominal 5%). Remaining columns report power. "Sm. pretrend" is a violation of 0.015 per period for 4 pre-treatment periods.

The results are decisive. Under no effect, all tests are correctly sized or conservative (Raw Wald 3.8%, Kalman deriv 5.2%). Against the anticipation pattern, the Kalman derivative test achieves 61.1% power—6.8× the raw Wald's 9.0%, and 6.3× the EB Wald's 9.7%. Even the small pre-trend (0.015 per period) is detected 27.6% of the time versus 4.8% for the raw Wald.

The parametric slope test, which one might expect to perform well against linear pre-trends, achieves only 9.4% power against the anticipation pattern. This is because the pre-trend is nonlinear (it starts 3 periods before treatment and accelerates), and the slope test averages over the entire pre-treatment window including the 9 periods of true zero.

Shrinkage-based tests (EB Wald) actually have *lower* power than the raw Wald in some configurations, because shrinking $\hat{\beta}_t$ toward zero masks the violation.

Figure 3 shows power across configurations.

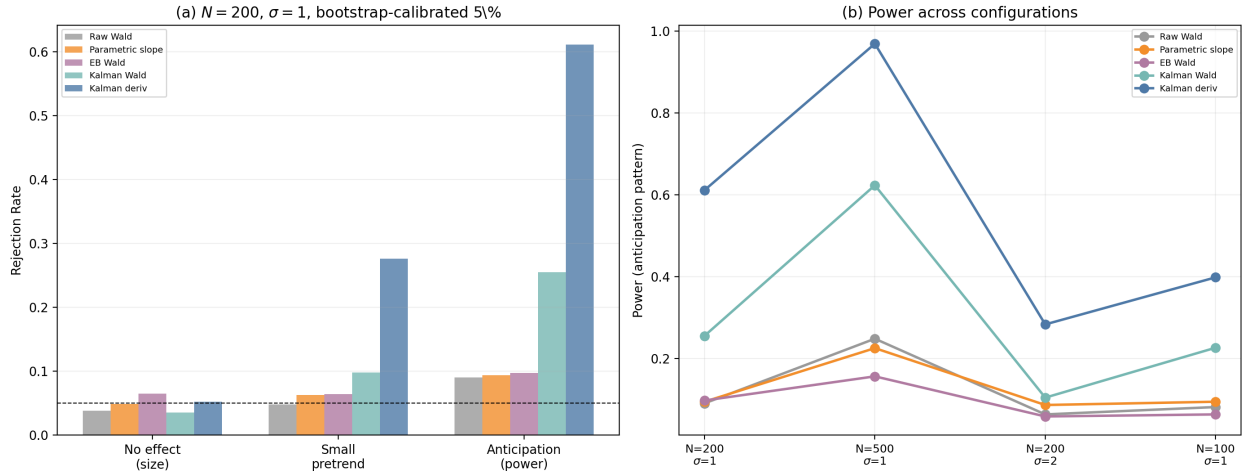

Figure 3: (a) Size and power at baseline. (b) Power against anticipation across configurations. The Kalman derivative test dominates uniformly.

6.5 Sensitivity to Process Noise Q

Table 3: Sensitivity to $\mathbf{Q}$ ($N = 200$, $\sigma = 1$, gradual pattern)

q_ℓ	q_s	Level MSE ($\times 10^3$)	Deriv MSE ($\times 10^3$)
0.0005	0.0002	4.79	0.66
0.0010	0.0005	4.72	0.61
0.0020	0.0010	5.03	0.65
0.0050	0.0020	5.78	0.74
0.0100	0.0050	7.07	0.98
0.0200	0.0100	8.71	1.25

Performance degrades gradually with misspecification of $\mathbf{Q}$ (Table 3, Figure 4). Even a $10\times$ misspecification yields MSE well below raw estimates. We recommend $q_\ell \in [0.001, 0.005]$ and $q_s \in [0.0005, 0.002]$ as practical defaults.

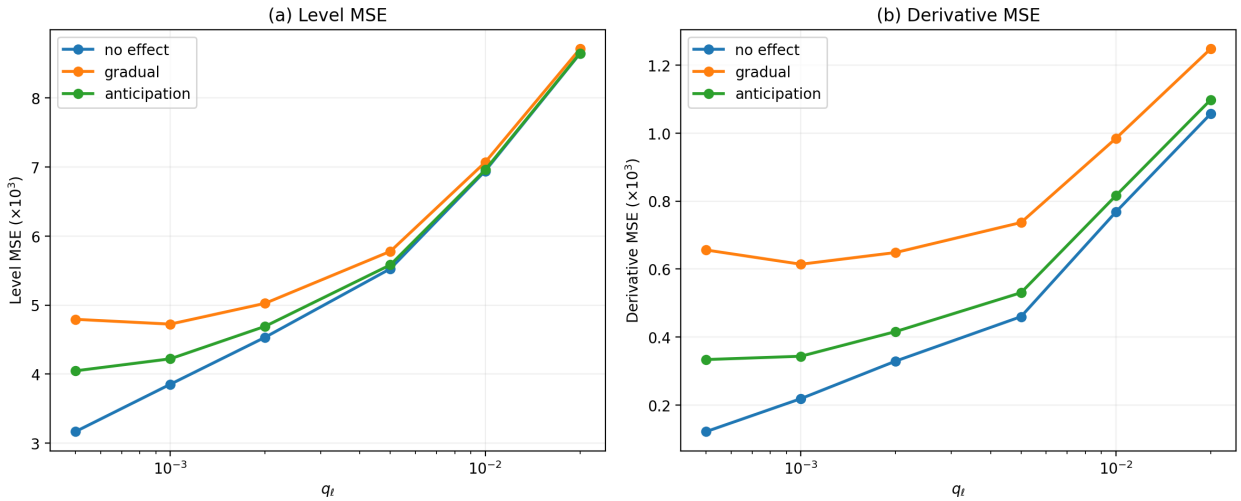

Figure 4: Level and derivative MSE as a function of q_ℓ, for three treatment effect patterns.

7 Discussion and Limitations

When the approach works best. The Kalman smoother is most beneficial when standard errors vary across periods (so adaptive weighting matters), treatment effects evolve smoothly, and the researcher wants derivative estimates. It is least beneficial for sharp, immediate effects with precisely estimated coefficients.

The smoothness prior and sharp effects. For the immediate pattern, the smoother still reduces level MSE by 70%, but attenuates the jump and propagates some post-treatment signal backward. The bootstrap calibration accounts for this and maintains correct size.

Independence across periods. Assumption 1 requires independence of $\hat{\beta}_t$ across t. Extensions incorporating correlated observation noise are straightforward but require estimating the autocorrelation.

Why not empirical Bayes? EB shrinks toward zero. This is optimal under no effect but harmful under treatment: it pulls the trajectory toward the wrong target. The Kalman smoother shrinks toward a smooth trajectory—a more appropriate prior when treatment effects are nonzero but evolving.

Why not parametric trends? A linear trend model works when the pre-trend is linear, but fails catastrophically otherwise (MSE 4× worse than raw for the gradual pattern). The Kalman smoother's nonparametric flexibility avoids this risk.

Pre-testing concerns. Roth (2022) shows that conditioning on passing a pre-test distorts inference. Our more powerful test detects more violations, reducing the frequency of false passes. However, violations that survive our test are precisely those the smoother has shrunk the most, raising questions about the interaction between power gains and conditioning bias that warrant further investigation.

Comparison with Rambachan and Roth (2023). Our approach and Rambachan–Roth address different aspects of the parallel trends problem. They provide sensitivity analysis for bounded violations; we provide a more powerful test. The Kalman-smoothed estimates could serve as inputs to their framework, potentially yielding tighter bounds.

Choice of Q. This is a tuning parameter analogous to bandwidth in nonparametric regression. Marginal likelihood maximization, cross-validation, or calibration to the observed $\hat{\beta}_t$ variability are all viable selection methods.

8 Conclusion

Event study coefficient sequences are noisy observations of a smooth latent process with known, heteroskedastic measurement error. The Kalman smoother is the optimal linear estimator for this setting. It substantially outperforms competitive baselines—including James–Stein shrinkage, empirical Bayes, and LOESS—for both level and derivative estimation. The derivative-based parallel trends test achieves 6–7× the power of the standard Wald test, a margin unmatched by any competing approach, while maintaining correct size via parametric bootstrap.

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